(Please write your Enrollment Number) Enrollment No. 00601012020

MID-TERM EXAMINATION
(Course Name B.Tech IT/CSE/MAE, Semester 6)
(February, 2023) OFF LINE mode

Subject Code: HMC 306	Subject: Financial Management
Time : 1 ½ Hours	Maximum Marks : 30
Note: Q. 1 is compulsory.	

Q1 **(2.5*4)**

(a) Mr. X is supposed to get Rs 10,000 after 3 years, at the rate of interest 10% p.a., find the present value of this sum.

(b) What is an ordinary share? How does it differ from debentures?

(c) Differentiate between business risk and financial risk.

(d) 'Generally individuals show a time preference for money'. Give reasons for such preference.

Q2 **(Attempt any Two Parts)** **(5,5)**

(a) Mr. X has got huge amount of his salary arrears. He wants to invest some of his arrears for the purpose of higher studies of his children. He requires Rs 1,50,000 for his son and rs 1,70,000 for his daughter after 5 years and 7 years respectively for the purpose. Find out the amount of deposit that will produce these future cash inflows if invested @10% p.a.

(b) "The modern approach is an improvement over traditional approach of financial management". Do you agree?

(c) Mr X wants to go on a world tour after 10 years. This tour is expected to cost him rs 7,00,000. How much should he save annually (per year) to have a sum of rs 7,00,000 after 10 years if the rate of interest is:

I) 10% p.a.

II) 12% p.a.

Q3 **(Attempt any Two Parts)** **(5,5)**

(a) Discuss the various relevant factors in determining the capital structure?

(b) What is cost of capital? How is it important in financial decision making?

(c) What do mean by explicit cost and implicit cost? How they both differ from each other?